

Not Just Engine Trouble

While the problem with the Pratt & Whitney engine may be the primary reason for the trouble at Go First, the crisis was long brewing and its impact may last a while

BY MANISH PANT

► **THE SIGNS OF** any crisis are long visible before it explodes in the face and the current mess at Go First is no exception. Be it frequent delays to staff salaries, an attrition rate that is among the highest in the Indian aviation sector or frequent postponements to the company's plans of listing, the writing has long been on the wall. When the Mumbai-based low-cost carrier (LCC) filed an application for

22 | voluntary insolvency resolution with the arbitrator, the National Company Law Tribunal in Delhi on May 2, it didn't leave aviation observers surprised.

Squarely blaming Pratt & Whitney (P&W) for the decision to temporarily suspend operations, Go First in a statement said the US-based engine maker had refused to comply with an award issued by the Singapore International Arbitration Centre (SIAC) for the despatch

**GO FIRST SAYS
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IN DECEMBER 2022**

of 10 engines per month until December 2023. The grounding of close to 50 per cent of the carrier's A320neo fleet had resulted in it incurring "₹10,800 crore in lost revenues and additional expenses," the statement said. The airline currently has a fleet of 54 Airbus A320neo and five Airbus A320ceo, according to its website. Several other airlines—including Lufthansa, Air

Hawaiian and Air Tanzania—

have reported problems with P&W's geared turbofan engines, especially under hot and dusty conditions.

Citing faulty engines as a major reason behind Go First's failure, an aviation industry insider, requesting anonymity, tells *Business Today*, "The above incidents with Go Air are just symptoms of low revenue and high costs that have set in motion a deeper operational malaise comprising lack of capital and profitability. Engines



STALLED Go First has moved an application for voluntary insolvency resolution in the NCLT

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